

Compensation Committee Decision Framework

How to Use This Tool

Boards and compensation committees can use this five-part framework to improve decision quality, strengthen governance, and ensure executive pay programs support long-term organizational success.

This boardroom tool provides a set of questions for compensation committee members as they navigate executive pay decisions, helping with the recurring decisions and judgment calls that directors face when overseeing executive compensation.

Framework for Compensation Decision-Making

Decision Area	Focus
Governance, Role, and Decision-Making Framework	• Role clarity • Process clarity • Risk considerations and oversight
Establishing the Compensation Philosophy	• Documented pay philosophy • Pay positioning strategy • Establishing credible market benchmarks
Incentive Design and Performance Measurement	• Alignment with business strategy • Incentive design choices • Balanced measurement framework • Goal calibration
Making and Communicating Pay Decisions	• Formulaic outcomes in context • Use of judgment and discretion • Investor and stakeholder scrutiny • Clear rationale and documentation
Navigating Complexity and Future Challenges	• Exercising business judgment • Scenario planning • Impact analyses • Succession planning • Two-step review for major decisions • Withstanding scrutiny

Governance Role and Decision-Making Framework

Committee Decision Test

Before approving a major compensation decision, the committee should be able to answer five questions:

1. What business objective is this pay decision intended to support?
2. What does the market data tell us, and where is the market data incomplete?
3. How does the decision align with our compensation philosophy and strategy?
4. What are the risks, tradeoffs, and potential unintended consequences?
5. How would we explain this decision to investors, owners, executives, employees, or other stakeholders?

This framework can be applied across the annual compensation cycle, including pay reviews, incentive design changes, performance goal approval, payout certification, retention actions, severance arrangements, and other special compensation decisions.

These questions do not guarantee an easy answer. They create more disciplined conversations. They also help prevent common failures in executive compensation: relying too heavily on benchmarks, approving designs that do not match strategy, accepting goals without adequate pressure-testing, allowing formulas to produce outcomes that do not make sense, or failing to document the rationale for judgment calls.

Establishing the Compensation Philosophy

Key Questions

Before approving or refreshing the compensation philosophy, directors should be able to answer:

1. What business strategy and talent priorities should the executive compensation program support?
2. What leadership behaviors and performance outcomes should the program reinforce?
3. How competitive does pay need to be to attract and retain the right executive talent?
4. How much of total pay should be fixed versus variable?
5. How should pay outcomes differ for superior, target, and below-target performance?
6. How should the philosophy reflect the unique elements of the company?

Director Lens Peer Group Review

Peer group selection is one of the most visible and consequential parts of the compensation process. A strong peer group provides a credible basis for assessing executive pay levels and pay practices.

When reviewing the peer group, the committee should ask:

1. Are these companies similar enough to provide a useful compensation reference point?
2. Do they reflect the company's industry, size, complexity, and business model?
3. Do they reflect the market in which the company competes for executive talent?
4. Are there companies included primarily because they support a desired pay outcome?
5. Are there important competitors for talent that are missing?
6. Can the committee explain the peer group to investors, owners, management, and other stakeholders?

Incentive Design and Performance Measurement

Director Lens Incentive Design Questions

Before approving an incentive design, directors should be able to answer:

1. What business priorities is the plan intended to reinforce?
2. Are the selected metrics aligned with the company's strategy and value creation model?
3. Does the plan balance financial, operational, strategic, and individual objectives appropriately?
4. Are the performance goals rigorous but achievable?
5. Does the payout curve create appropriate upside and downside?
6. Could the plan encourage behavior that creates excessive risk or undermines long-term performance?
7. Would the committee be comfortable explaining the payout if performance is above target, below target, or mixed?

Performance Measurement Framework Test

Metric selection is one of the most important judgment calls in incentive design. Before approving performance metrics and the broader framework, the committee should ask:

1. Does each metric reflect a strategic priority?
2. Does the overall framework reflect the company's strategy and value creation model?
3. Is there an appropriate balance among growth, profitability, cash flow, capital discipline, operational execution, customer outcomes, talent, risk management, and strategic priorities?
4. Are the measures clearly defined, consistently measurable, and understandable?
5. Can management meaningfully influence the outcomes being measured?
6. What important dimensions of performance are not being measured, and why?
7. Could any metric, or the framework as a whole, unintentionally encourage behavior that undermines long-term value creation?
8. Can the company clearly explain why these measures were selected and how they work together?

PART 3 CONTINUED

Committee Checklist

As the committee reviews incentive design and performance measurement, directors should consider whether:

- The incentive plans are clearly linked to the company's strategy and value creation model.
- Annual and long-term incentives play distinct but complementary roles.
- Performance metrics are strategically relevant, measurable, influenceable, balanced, and explainable.
- Goals are rigorous, appropriately calibrated, and supported by clear assumptions.
- Payout curves create meaningful upside and downside without encouraging excessive risk.
- Strategic or individual goals are clearly defined and evaluated with discipline.
- Incentive caps, clawbacks, ownership guidelines, and other governance tools provide appropriate guardrails.

PART 4

Making and Communicating Pay Decisions

Before approving a material pay decision, directors should be able to answer:

1. What outcome was the pay program intended to reward?
2. What did the formulaic result produce?
3. Does the result reflect the quality and sustainability of performance?
4. Were the original goals rigorous and appropriately calibrated?
5. Were there unusual factors that materially affected the outcome?
6. Is the outcome aligned with stakeholder experience?
7. Would approving the outcome reinforce accountability and the compensation philosophy?
8. Can the committee clearly explain the decision?

Discretion Decision Framework

Before applying discretion, the committee should ask:

1. What formulaic result did the plan produce, and why might that result not reflect performance quality?
2. Were the relevant circumstances foreseeable when goals were approved?
3. Did management act in the company's long-term interests?
4. Would discretion reinforce or weaken accountability?
5. Is the adjustment proportionate to the facts?
6. Is the rationale consistent with prior committee decisions?
7. Can the decision be documented and explained clearly?
8. Has the committee applied both positive and negative discretion when warranted?

The final question is especially important. A committee willing to increase payouts but unwilling to reduce them risks turning the formula into a floor rather than a performance framework. Consistency in the application of discretion is critical to maintaining credibility with investors and other stakeholders.

Navigating Complexity and Future Challenges

Special Situation Decision Framework

When reviewing a special compensation action or emerging issue, directors should ask:

1. What specific business problem are we trying to solve?
2. Is compensation the right tool, or is the issue better addressed another way?
3. Is the issue temporary or structural?
4. Who is affected, and why are those individuals critical?
5. What alternatives did we consider?
6. What cost, dilution, or governance issues are created?
7. What precedent will this decision create?
8. How will success be measured after the fact?
9. How would we explain the decision to key stakeholders?

Committee Checklist

As the committee navigates complexity and future challenges, directors should consider whether:

- Special compensation actions are tied to a clearly defined business need.
- The committee has considered whether compensation is the right tool.
- CEO transition arrangements are aligned with performance expectations, succession needs, and stakeholder context.
- Transaction-related awards are targeted, time bound, and connected to value preservation or value creation.
- Retention awards are supported by evidence of specific risk.
- Responses to disruption preserve accountability and are documented clearly.
- Emerging issues are evaluated through the lens of strategy, talent, risk, and ownership alignment.
- The company can explain complex compensation decisions in a credible and consistent manner.

About Pearl Meyer

Pearl Meyer is the leading advisor to boards and senior management helping organizations build, develop, and reward great leadership teams that drive long-term success.

Learn more at [pearlmeyer.com](https://www.pearlmeyer.com)